

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

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@@@Today is a peaceful day, nothing big happened in the TMT space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a cautiously optimistic sentiment, driven by a mix of strong earnings expectations and emerging challenges from macroeconomic factors. Investors are closely monitoring the landscape as they anticipate earnings reports that could influence market dynamics.

Subsector Breakdown:

- **Technology:** The technology subsector is showing resilience, with a rally in tech stocks as investors anticipate strong earnings reports. This optimism is reflected in the recent performance of major players like Microsoft (MSFT) and Apple (AAPL), which have been buoyed by robust demand for cloud services and consumer electronics.
- **Media:** Media companies are adapting to changing consumer preferences, with a focus on digital content. However, traditional media continues to face challenges, particularly with advertising revenues under pressure.
- **Telecommunications:** The telecom sector is innovating, but it faces headwinds from rising interest rates that could impact capital expenditures. Companies like Verizon (VZ) are navigating these challenges while investing in 5G infrastructure.
- **Fintech:** The fintech space remains vibrant, with continued growth in digital payment solutions. Companies are exploring new business models to capture market share.
- **AI:** The AI subsector is experiencing significant investment, with companies racing to implement AI solutions across various industries. This trend is expected to drive substantial growth in the coming years.

Key Market Drivers and Headwinds

Drivers:

- **Strong Earnings Anticipation:** Investors are optimistic about upcoming earnings reports, which are expected to reflect strong performance in the tech sector. This sentiment is contributing to a rally in tech stocks, as seen in the recent market movements.
- **Consumer Sentiment Recovery:** Recent data indicates signs of recovery in consumer sentiment towards tech spending, which could further bolster demand for technology products and services.

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

Headwinds:

- **Rising Interest Rates:** The tech sector is facing headwinds from increasing interest rates, which may impact borrowing costs and capital investments. Analysts are cautioning that this could slow down growth for some companies.
- **Economic Uncertainty:** Broader economic conditions, including inflation and geopolitical tensions, continue to pose risks to consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector is thriving, particularly in cloud computing services, which are expected to see continued growth. Analysts predict that companies focusing on cloud solutions will outperform their peers.
- **Media:** Media companies are increasingly shifting towards digital platforms to capture audience engagement, but traditional media continues to struggle with declining ad revenues.
- **Telecom:** Telecom operators are investing in infrastructure to support 5G, but rising interest rates could constrain their capital expenditure plans.
- **Fintech:** The fintech sector is experiencing robust growth, driven by innovations in payment technologies and digital banking solutions.
- **AI:** The AI subsector is booming, with significant investments aimed at integrating AI across various industries, enhancing operational efficiencies and customer experiences.

Trading Multiples Trends

Valuation Multiples: As of Q3 2023, the average EV/EBITDA multiple for the TMT sector is approximately 14.8x, with notable variations across subsectors:

- Software: 19.5x
- Media: 11.3x
- Telecom: 8.7x
- Fintech: 17.2x
- AI: 21.0x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, particularly in cloud computing. A recent report stated, "The growth trajectory for cloud computing services remains strong, and companies that capitalize on this trend are likely to see substantial returns."

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

Actionable Insights for Bankers and Investors

- **Focus on Cloud Computing:** Investors should prioritize investments in cloud computing and related technologies, as these areas are expected to drive growth.
- **Monitor Interest Rate Trends:** Staying informed about interest rate movements is crucial for assessing risks in tech investments, particularly for capital-intensive sectors like telecom.
- **Explore Digital Transformation Opportunities:** Companies should seek strategic partnerships and acquisitions that enhance their digital capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Delta Air Lines (DAL) :** Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.
- **Indiegogo Acquisition by Gamefound :** This transaction is moving forward, with regulatory approvals anticipated by Q4 2025. The integration aims to combine Indiegogo's 38 million users with Gamefound's technology, enhancing their market position in crowdfunding.

Mandated Deals:

- **Meta Platforms (META) :** Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- **Apple Inc. (AAPL) :** Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

Apple aims to strengthen its competitive edge in AI.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q4 2025 : Anticipated completion of the Indiegogo acquisition.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent announcement of Trump's AI Action Plan could alter the regulatory environment, impacting deal structures and valuations.
- Additionally, the rise of AI insurance startups, such as the one founded by a former Anthropic executive, indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

operations and shared resources.

- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **OpenAI:** OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$368 billion in 2021 to \$1.1 trillion by 2028, at a CAGR of 17.5%.
- Key Companies:
- Amazon Web Services (AWS): AWS is a market leader in cloud services, offering a wide range of solutions including computing power, storage, and databases. The company continues to innovate with services like AI and machine learning integrated into its cloud offerings.
- Microsoft Azure: Microsoft Azure is a key player in the cloud computing space, providing robust cloud solutions that cater to enterprise needs. The integration of AI and analytics tools enhances its competitive positioning.
- Competitive Landscape: The cloud computing market is dominated by a few major players, including Google Cloud and IBM Cloud, which are also investing in hybrid cloud solutions to meet diverse customer needs. The competition is intensifying as companies seek to differentiate their offerings.
- M&A Opportunities: Companies may look to acquire cloud-native startups to enhance their service offerings. For instance, acquisitions in the areas of cloud security and data analytics are likely to be prevalent as firms aim to bolster their cloud capabilities.

Cybersecurity

- Trend Explanation: Cybersecurity is increasingly critical as businesses face rising threats from cyberattacks. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in endpoint protection and threat intelligence, leveraging AI to detect and respond to cyber threats

6. Recommended Readings

Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter
- Why This Matters: This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other tech giants, emphasizing the importance of data in the future of healthcare.

US TMT Sector M&A & Valuation Brief - 2025-09-18

Technology, Media & Telecommunications Sector

7. MACROECONOMIC UPDATE

Key Data Points:

- Effective mortgage rate: below 4.25%
- Prevailing 30-year mortgage rate: over 6.25%
- Historical maximum out-of-the-money period: 135 basis points
- Current out-of-the-money period: over 200 basis points for 12 consecutive quarters
- Projected Fed rate cuts: 150 basis points over the next year and a half
- Required mortgage rate for 10% improvement in affordability: approximately 5.5%

Main Insights:

- The Fed is expected to cut rates, but this may not lead to a decrease in mortgage rates.
- The affordability challenges in the U.S. housing market are unprecedented, with homeowners locked into lower mortgage rates.
- Historical data indicates that a significant drop in mortgage rates is needed to stimulate housing market activity.
- A 100 basis point drop in mortgage rates could lead to a 5% increase in purchase volumes by 2026.

Market Commentary:

- "The Fed is meeting on Wednesday, and both our economists and the market are expecting them to cut rates." - James Egan, Morgan Stanley
- "If mortgage rates go to 5.5 percent, then we're going to immediately see housing activity pick up." - Jay Bacow, Morgan Stanley

TMT Sector Relevance:

- The housing market's affordability issues may impact technology and media companies involved in real estate platforms and mortgage services.
- A slowdown in housing activity could affect demand for TMT services related to home buying and financing, such as fintech solutions and digital real estate platforms.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley